

outstanding by more than 70 percent. This has helped returns immensely. Every dollar invested in Loews in 1961 is worth about \$1,240 today.

In a way, these companies become more valuable by losing shareholders.

It sounds strange, but in essence, this is what's happening. The victors are those who simply hold on.

The practice is abused and more widespread than it should be. As Warren Buffett puts it in his 2000 letter to shareholders,

There is only one combination of facts that makes it advisable for a company to repurchase its shares: First, the company has available funds — cash plus sensible borrowing capacity — beyond the near-term needs of the business and, second, finds its stock selling in the market below its intrinsic value, conservatively calculated.

If those two requirements are met, Buffett is an enthusiastic supporter of stock buybacks. This is from his 1980 letter to shareholders:

We can't resist pausing here for a short commercial. One usage of retained earnings we often greet with special enthusiasm when practiced by companies in which we have an investment interest is repurchase of their own shares. The reasoning is simple: *if a fine business is selling in the marketplace for far less than intrinsic value, what more certain or more profitable utilization of capital can there be than significant enlargement of the interests of all owners at that bargain price?* The competitive nature of corporate acquisition activity almost guarantees the payment of a full — frequently more than full price — when a company buys the entire ownership of another enterprise. But the auction nature of security markets often allows finely-run companies the opportunity to purchase portions of their own businesses at a price under 50% of that needed to acquire the same earning power through the negotiated acquisition of another enterprise. (emphasis added)

When done right, buybacks can accelerate the compounding of returns.